

“Why are our surveys different?”

The complex challenge of the employee engagement market

No agreement on the definition of engagement

<i>Table 1-1 (based on 18 definitions of employee engagement)</i>	
Concept	Percentage Used
Commitment - cognitive, affective, behavioral	5.5%
Commitment - rational & emotional	5.5%
Discretionary effort – going above and beyond	11%
Drive innovation	5.5%
Drive business success	22%
Energy, involvement, efficacy	11%
Passion and profound connection	5.5%
Positive attitude toward company	5.5%
Psychological presence- attention and absorption	5.5%
Shared meaning, understanding- active participation	5.5%
Stay, say, strive	5.5%
Think, feel, act, during performance	11%
Translate employee potential into performance	5.5%

Whilst definition isn't well-defined, basis is stronger

“The concept of employee engagement, especially in a practical sense, borrows heavily from better defined, more mature ideas and measures of employee attitudes, satisfaction, and commitment.”

Employee Engagement Timeline

1964 - Organisational Citizenship Behaviour
(D. Katz)

1970s - Organisational commitment

1970s - Job satisfaction

1990 - Employee Engagement
(William H Kahn)

1998 - Employee - Customer - Profit Chain at Sears
(Rucci, Kim, Quinn; HBR)

1999 - First Break all the rules
(Gallup)

2006 - Ultimate Question
(Reichheld / Bain & Co.)



“It’s arguably unfeasible to directly measure in the survey all the actions behind engagement,” due to the fact that, “there are potentially thousands of different individual actions, attitudes, and processes that affect engagement.”

Shaw, K. (2005). Employee engagement, how to build a high-performance workforce.

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Bersin: overview of providers' offerings

Solution Provider Offering Types	
Focus on deep analytics and benchmarking	Kenexa Towers Watson Hewitt
Based on customized research	Gallup's Q12
Focus on behavior change and management effectiveness	Valtera Right Management DDI Mercer
Transitioning insights from customer satisfaction to employee engagement	BI Worldwide
Based on research studies and a growing database of benchmark organizations	Burke Inc CLC Genesee (Corporate Leadership Council)

Source: Bersin & Associates, 2010.

Academic models of engagement

Maslach Burnout Inventory-General Survey (MBI-GS)

- Engagement is characterised by energy, involvement, and professional efficacy which are considered the direct opposites of the three burnout dimensions exhaustion, cynicism, and lack of professional efficacy, respectively
- Engagement is assessed by the opposite pattern of scores on the three MBI dimensions. Low scores on exhaustion and cynicism, and high scores on efficacy are indicative for engagement.
- Exhaustion, cynicism and decreased professional efficacy are opposites of vigour, dedication and increased professional efficacy.

Utrecht Work Engagement Scale (UWES)

- **Burnout and engagement are opposite concepts** that should be measured independently with different instruments
- Engagement is defined as a positive, fulfilling, work-related state of mind that is characterised by vigour, dedication, and absorption.
- **Engagement** refers to a more persistent and pervasive affective cognitive state that is not focused on any particular object, event, individual, or behaviour.
 - **Vigour** is characterised by high levels of energy and mental resilience while working, the willingness to invest effort in one's work, and persistence also in the face of difficulties.
 - **Dedication** is characterised by a sense of significance, enthusiasm, inspiration, pride, and challenge.
 - **Absorption**
- Vigour and dedication are the direct positive opposites of exhaustion and cynicism, respectively.

Job Demand-Resources (JD-R) model

Oldenburg Burnout Inventory (OLBI)

- The model indicates that job demands (i.e. physical demands, time pressure, shift work) are associated with exhaustion whereas lacking job resources (i.e. performance feedback, job control, participation in decision making and social support are associated with disengagement.
- Although job demands are not necessarily negative, they may turn into job stressors when meeting those demands requires high effort and is therefore associated with high costs that elicit negative responses such as depression, anxiety, or burnout.

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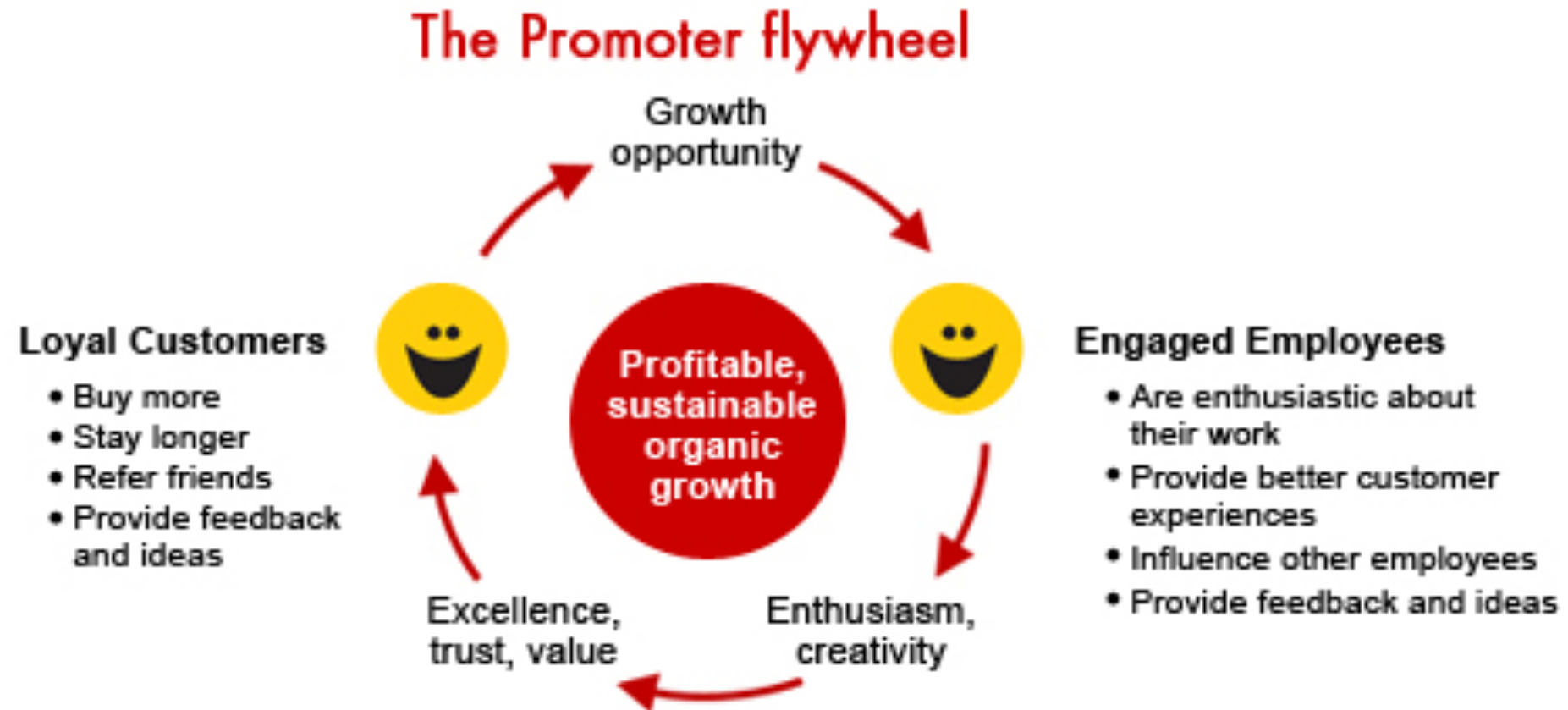
FRED REICHHELD

Bestselling author of *THE LOYALTY EFFECT*

BAIN & COMPANY

Employee Net Promoter Score - eNPS

Logic



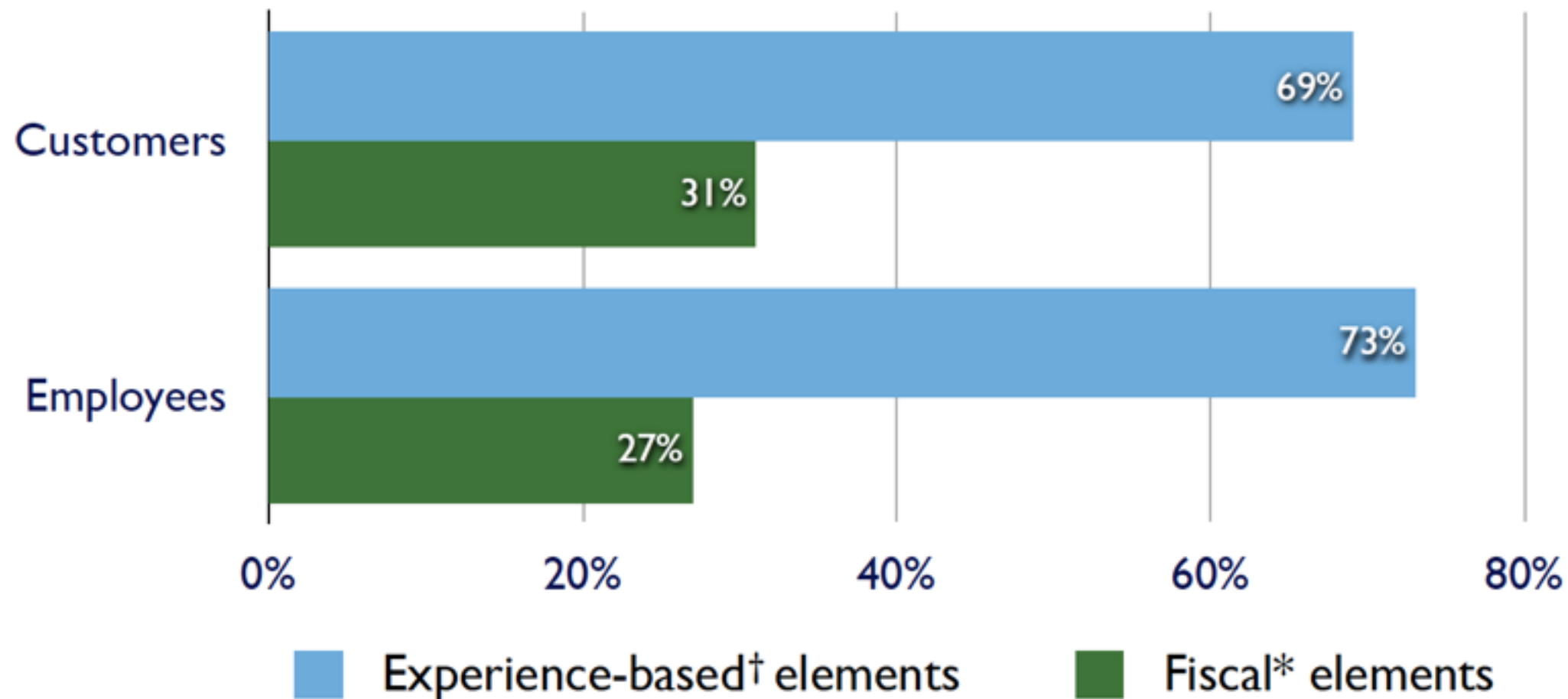
2 Questions

“On a scale of zero to ten, how likely is it you would recommend this company as a place to work?”

“How likely would you be to recommend this company’s products or services to a friend or colleague?”

Experiences drive advocacy

Drivers of satisfaction in company^a

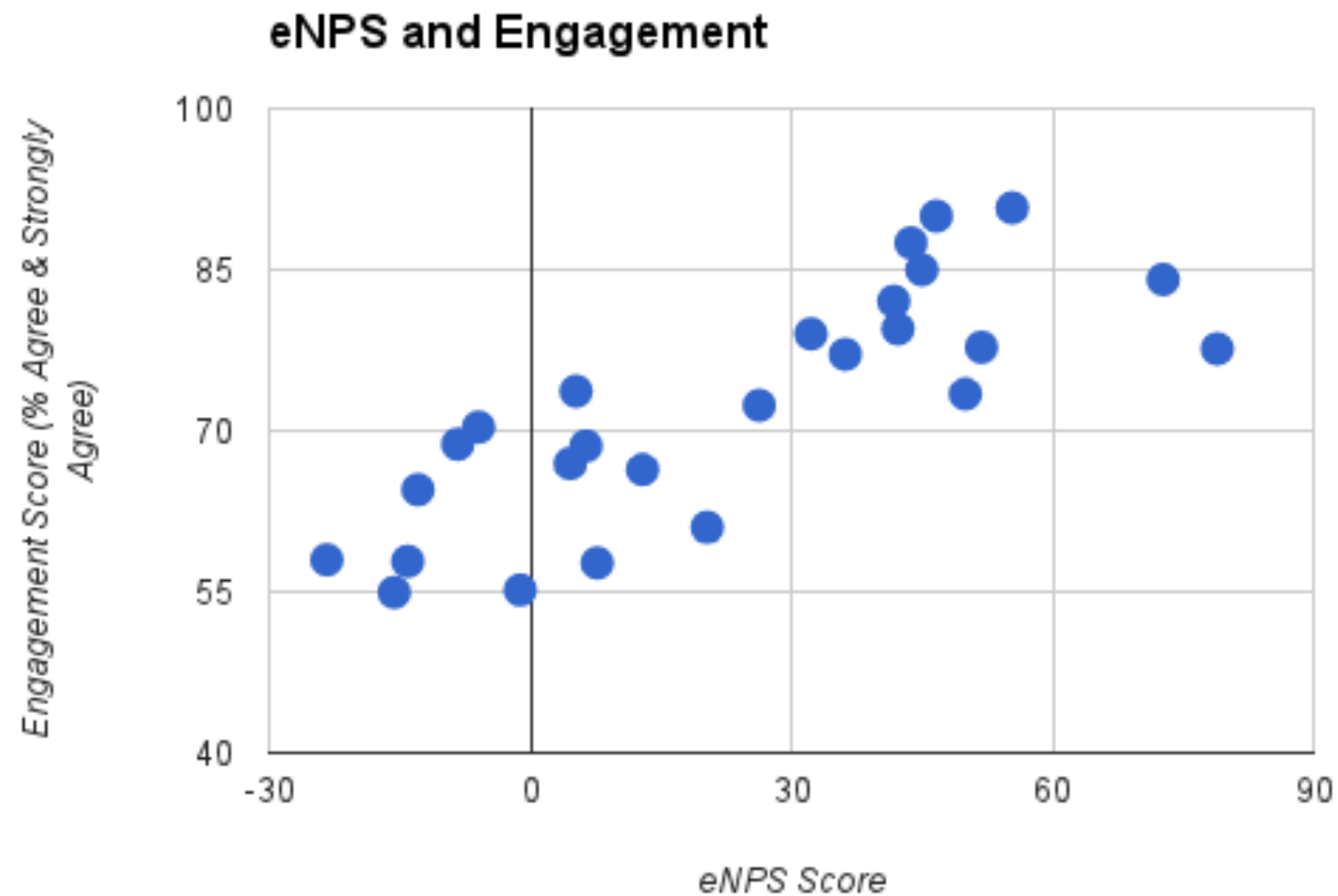


^a Sources: Customer information - internal study major European bank; Employees - Corporate Leadership Council

† Experience based elements includes advice, service, complaint handling, environment

* Fiscal elements includes price / performance for customers and salary / other financial benefits for employees

Employee Net Promoter Score - eNPS *Cont.*



Two scores were correlated with $R^2 > .9$

Is the relationship between Employee Engagement and positive business outcomes causal?

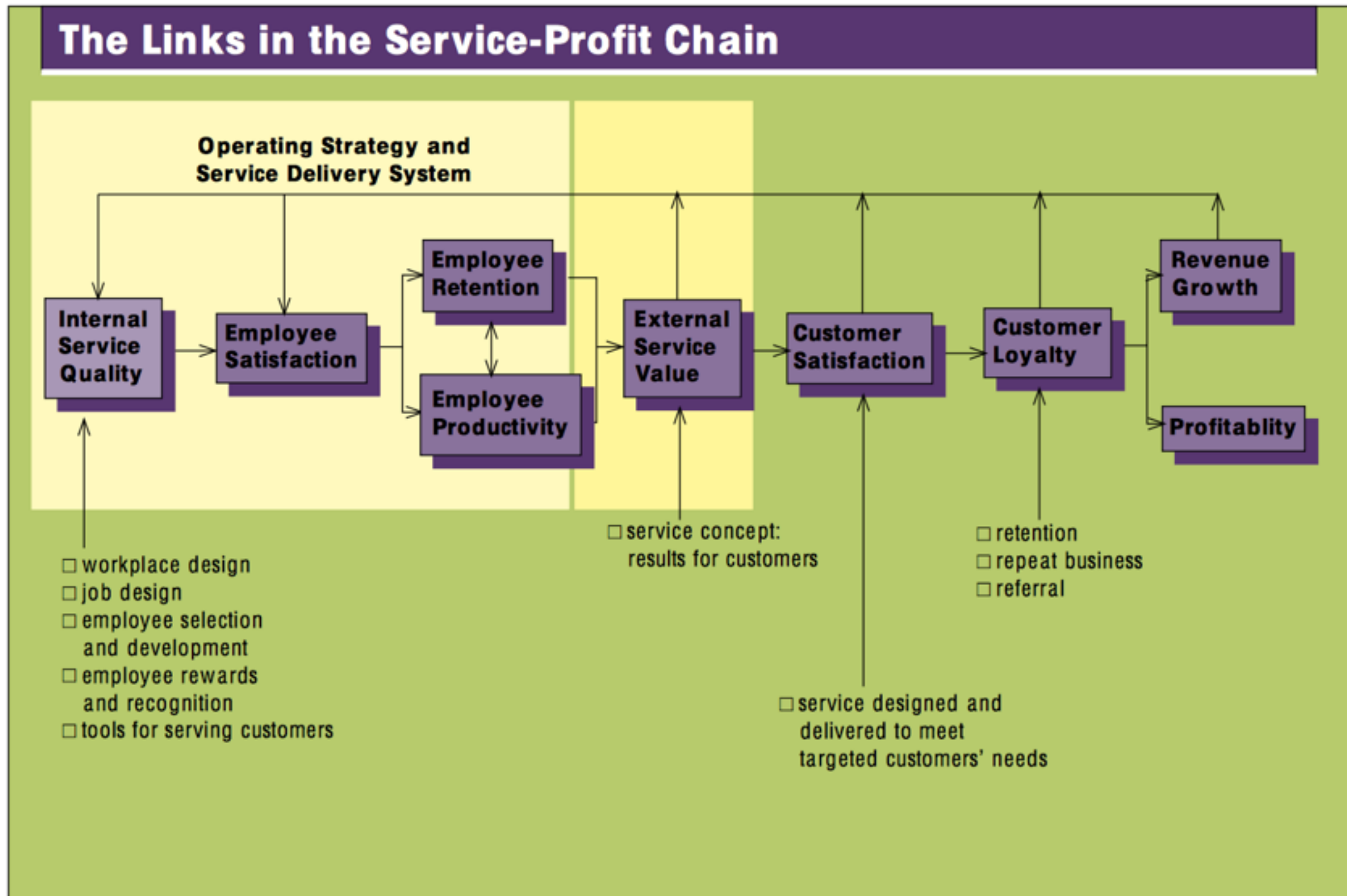
Cross-sectional studies can't prove causality

“Various engagement measures can be determined to relate to various other measures of organizational and individual performance, but the idea that engagement actually causes any of these outcomes is, in this context, unable to be proven.”

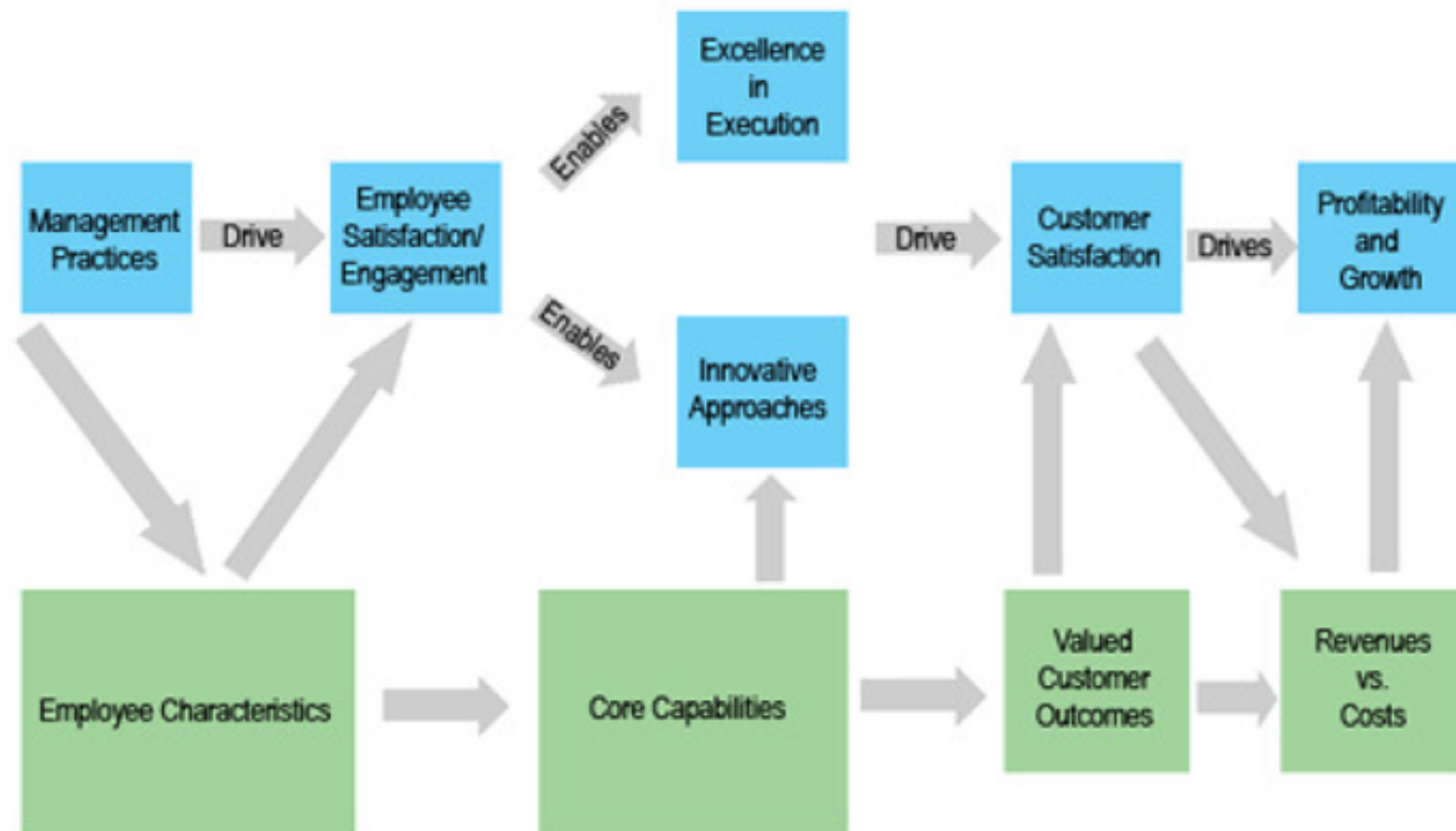
Longitudinal studies aren't conclusive about causality

“In a study examining employee attitudes and organizational financial and market performance, Schneider and colleagues found that measures of job satisfaction and satisfaction with security were more strongly predicted by return on assets and earnings per share rather than the reverse”

'Sears' Service Profit Chain

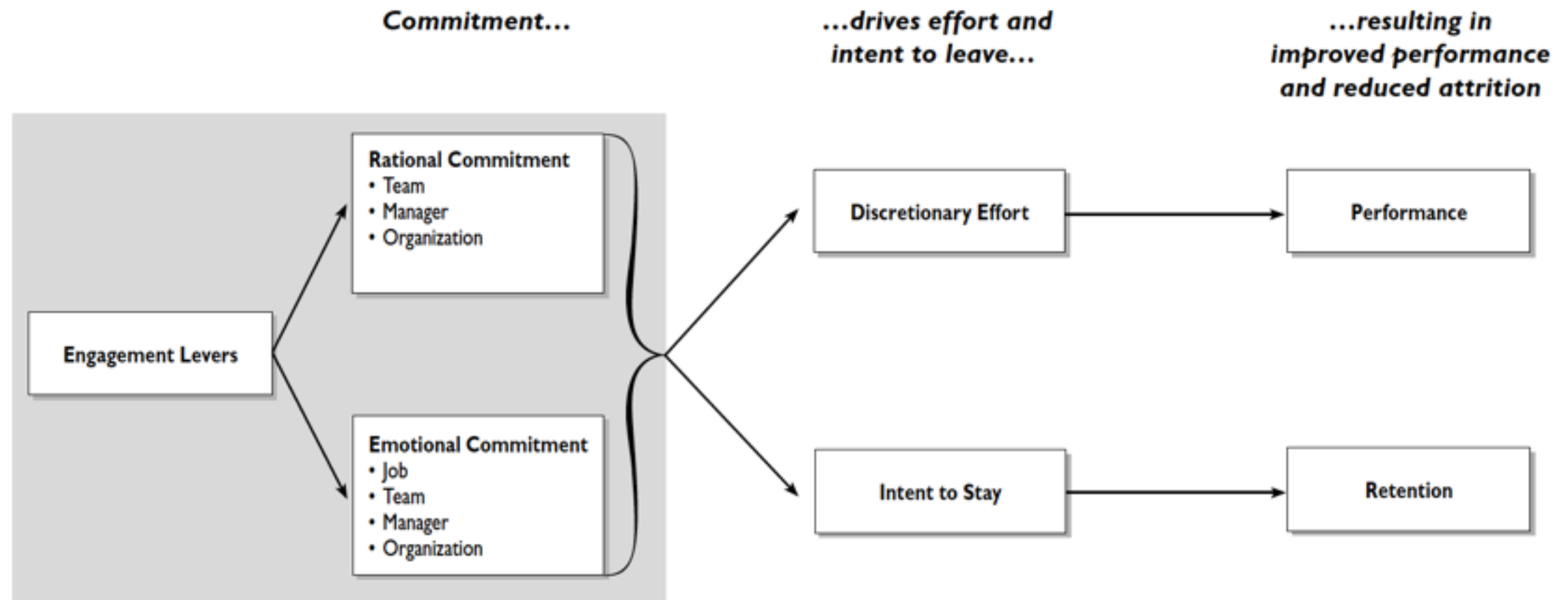


Updated model explaining link from engagement to performance



CLC's Engagement Model

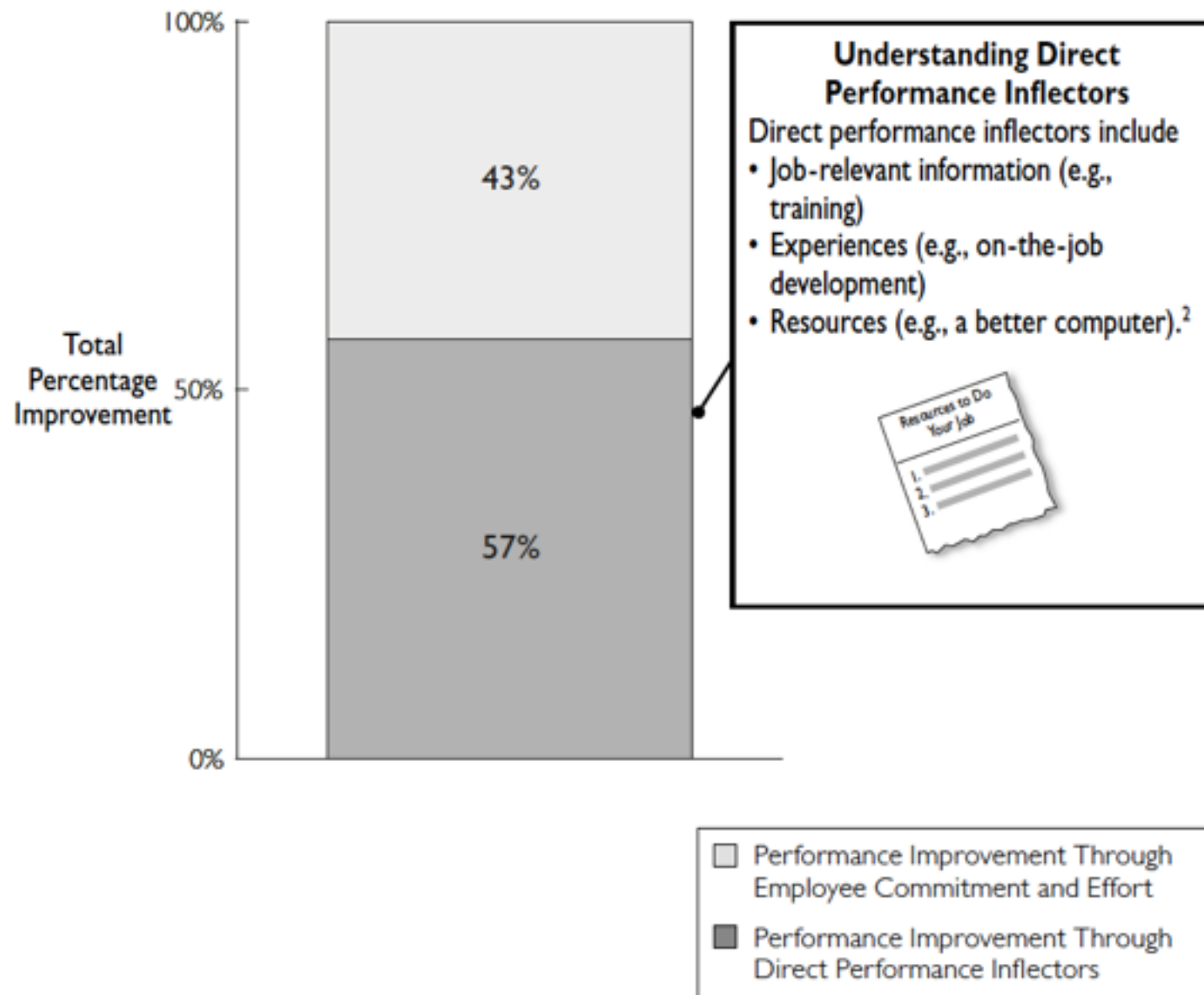
THE CORPORATE LEADERSHIP COUNCIL'S MODEL OF ENGAGEMENT



CLC's Engagement - explaining performance

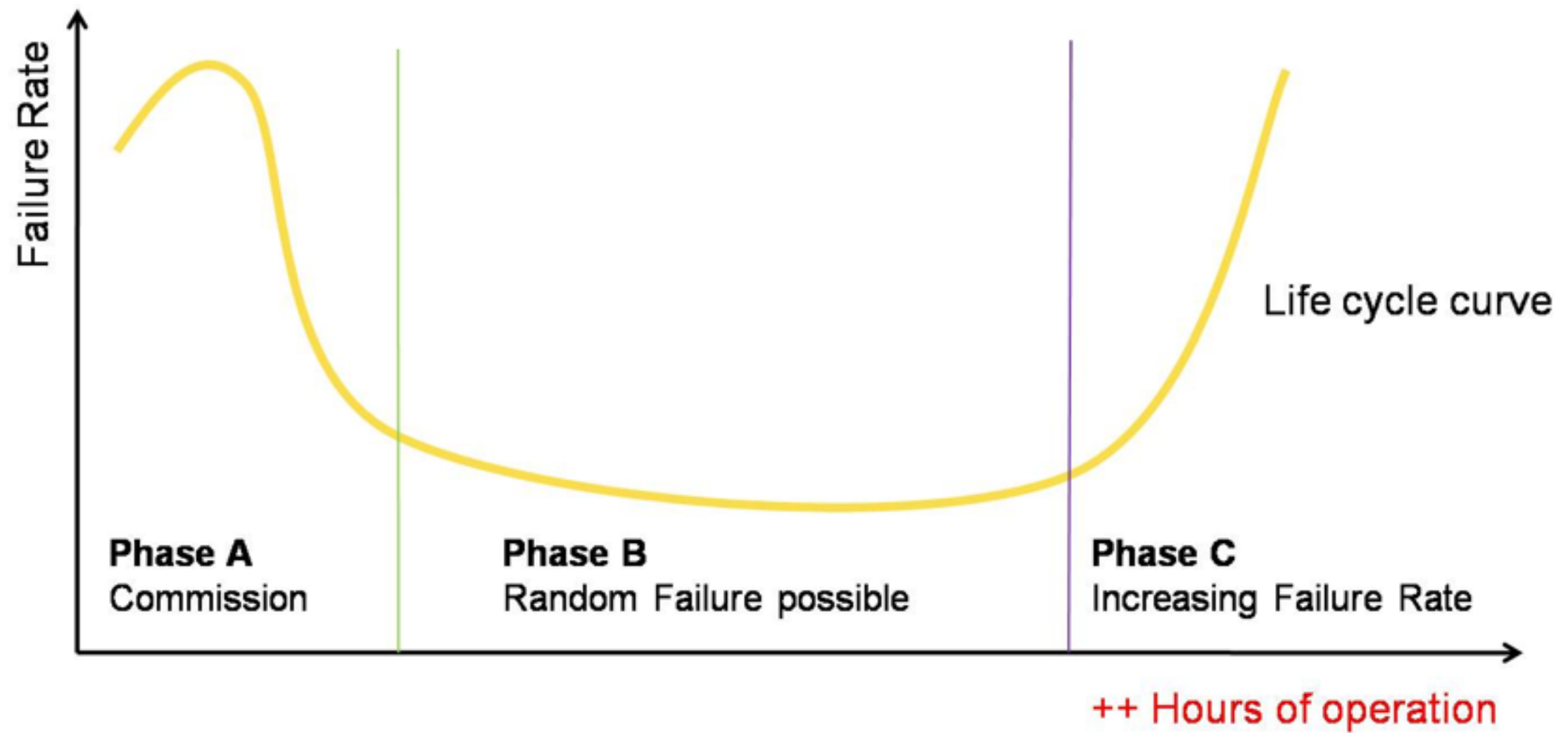
...once in place, engagement accounts for roughly 40 percent of observed performance improvements

Percentage of Observable Performance Improvement by Category¹



Source: Corporate Leadership Council 2004 Employee Engagement Survey.

The bathtub curve

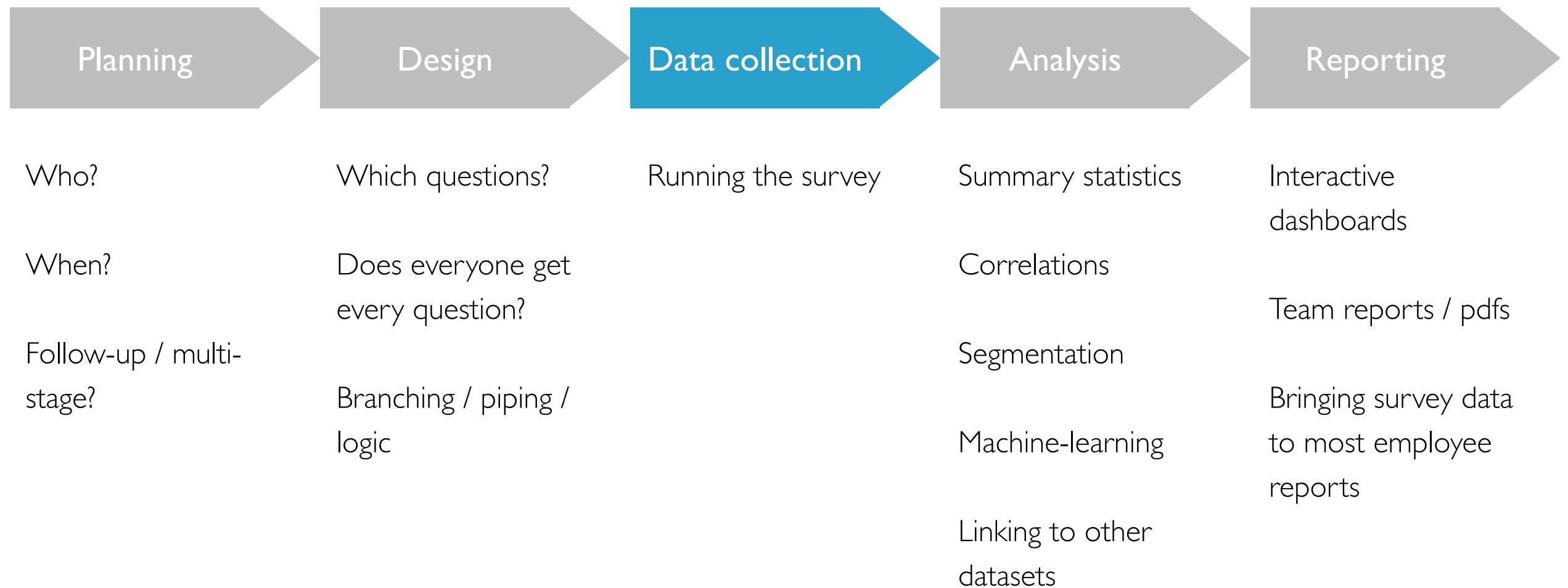


Trends as we see them

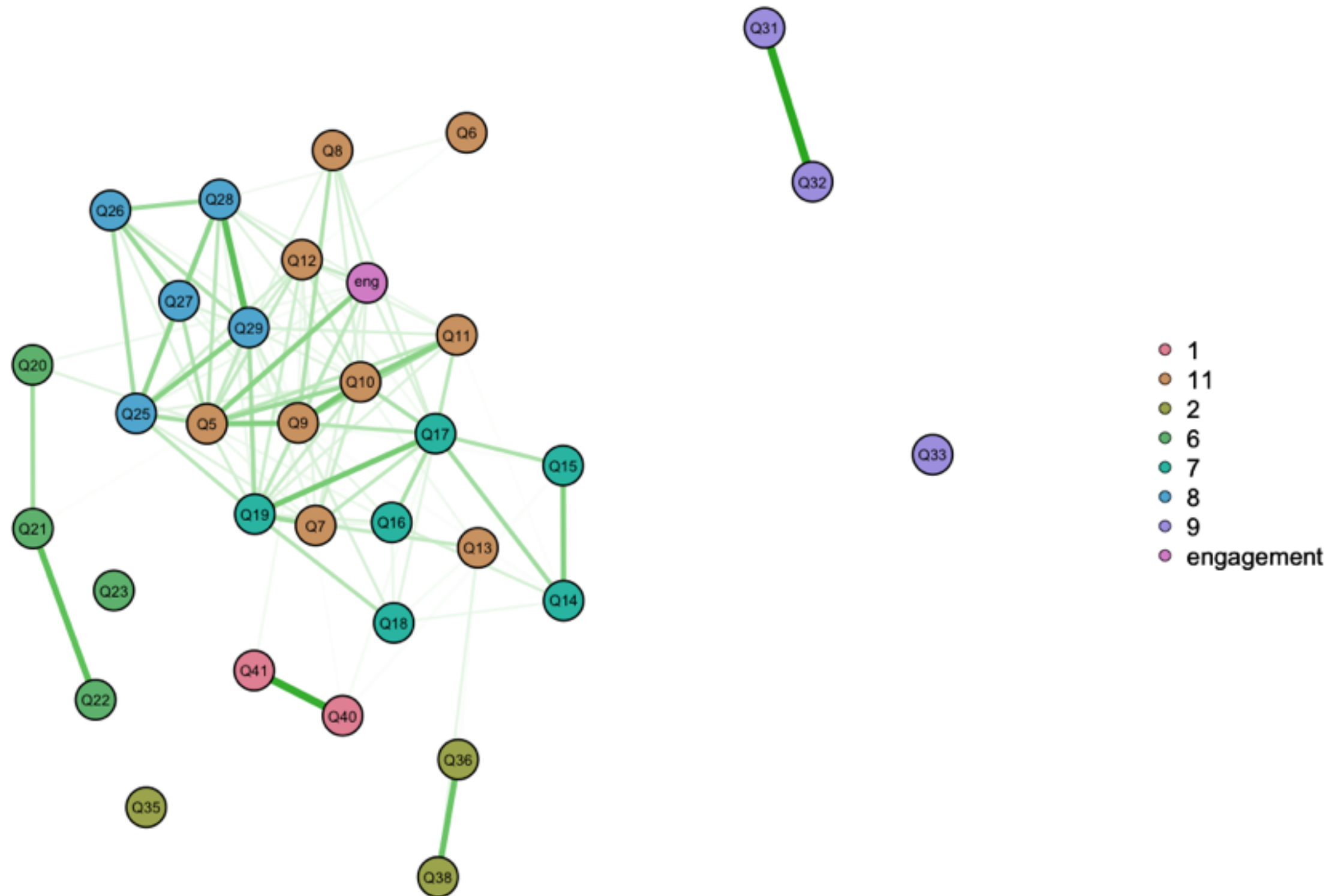
“Issues for employee engagement surveys”

1. Not frequent enough
2. Single scoring leads to issue distortion
3. Aggregation reduces meaning
4. Does not capture the specifics
(context seldom captured)
5. Lengthy or poor response planning
6. Managers are busy & have no incentive to
implement any actions
7. Lot of resources & monitoring
8. Surveys get old
9. Causality not clear

Current survey process time-consuming



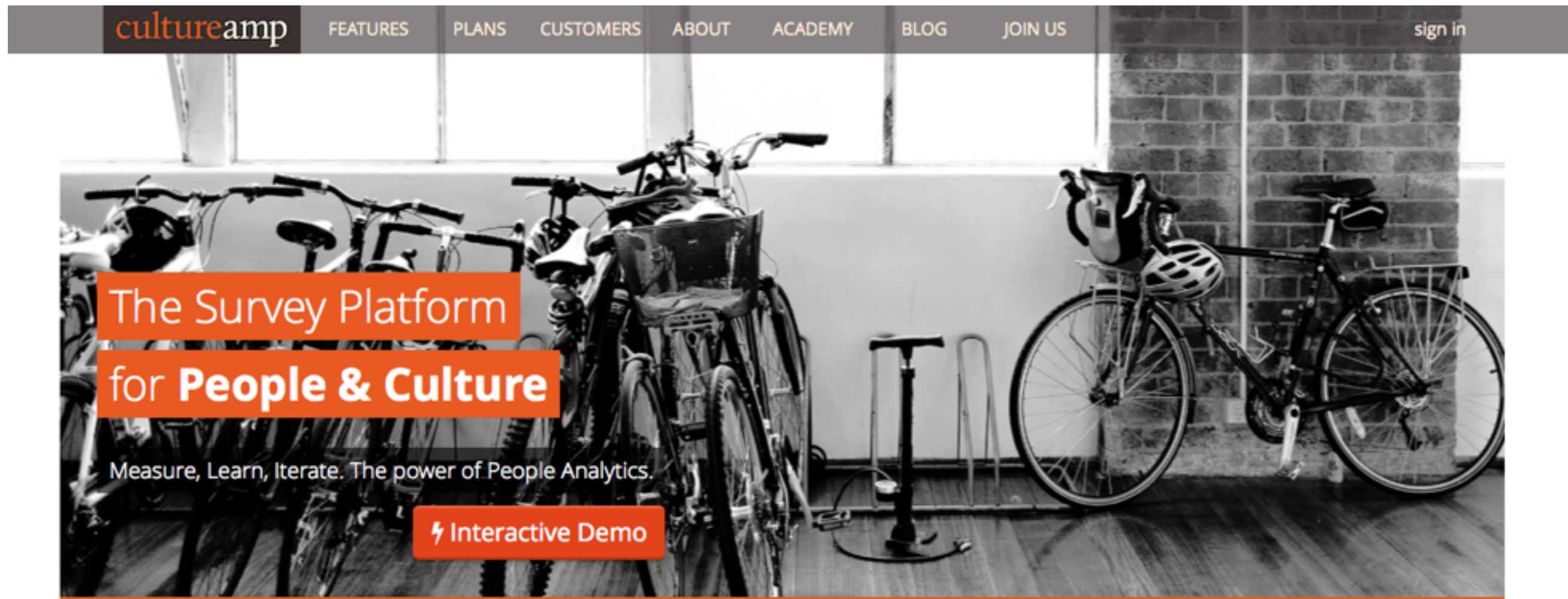
Data's not great: Correlation graph of typical survey



“Where is the engagement research heading?”

- Pulse surveys as a move towards real-time
- Shorter, vertical one-topic surveys
- EVP as well as engagement
- Integrated, employee lifecycle insight
- Social media
- Email / jammer analysis
- Collaborative platforms (Open innovation)
- Text analytics
- Glassdoor / external transparency

Technology shifting economics of survey industry



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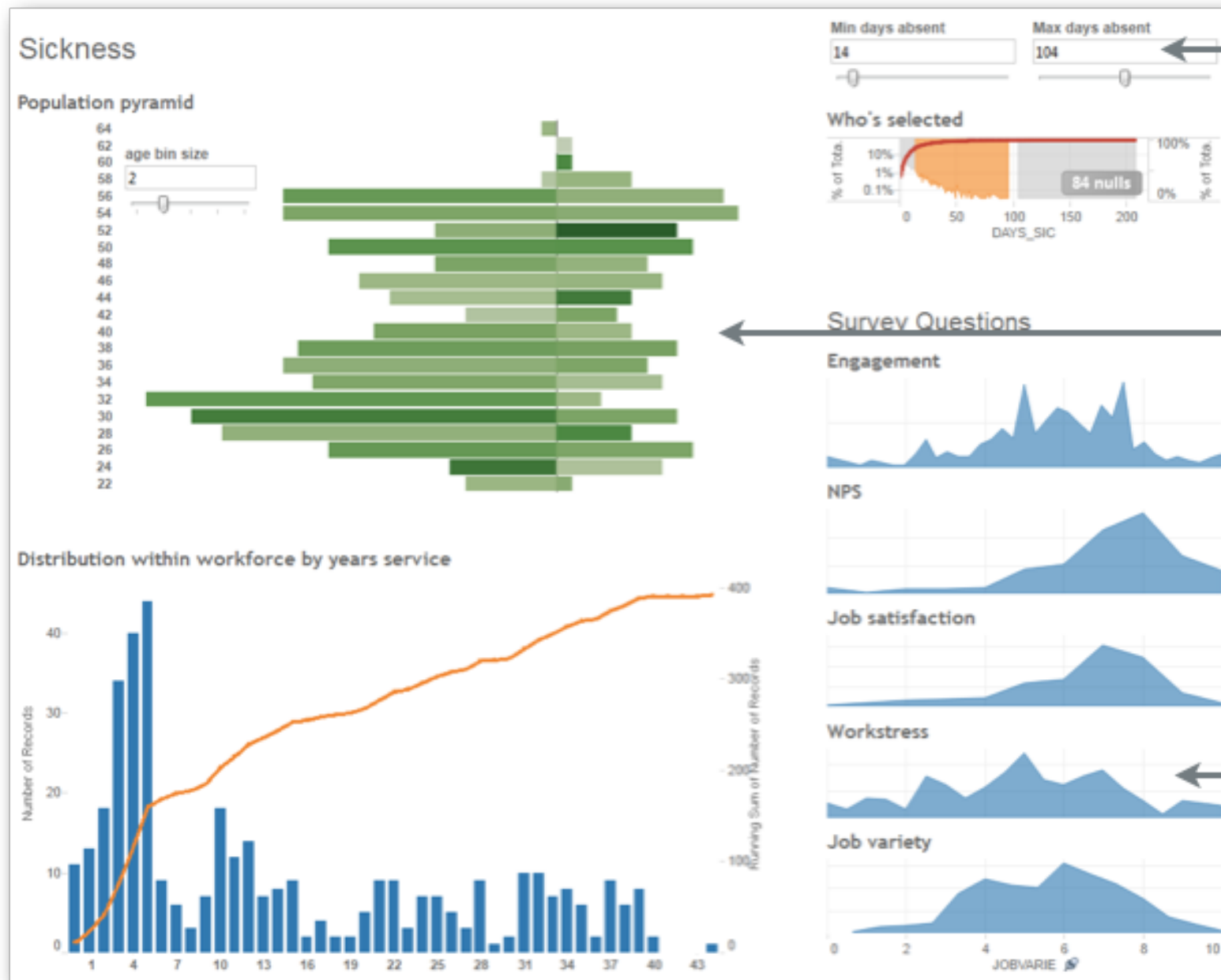
Take a look at our [customer list](#) and [case studies](#).



Survey data is increasingly linked to business data



Survey data is increasingly linked to business data



Which group?

Who's in this group?

What are they thinking?

Embracing open text questions

Everyone is leaving and getting much higher pay, but we are told we are paid at market rate. I think your data is wrong

I haven't had a career discussion in years

Management only communicates that it wants us to change

I don't see any change from last year

The new intranet is a huge improvement

Our coffee machine has been broken for ages. We have to walk 5 minutes to get a drink.



Andrew Marritt is the founder of OrganizationView, a Swiss-based people analytics practice. OrganizationView currently run engagement employee insight surveys for a number of global firms. These surveys range from traditional, annual surveys to monthly 'pulse' surveys. Clients are increasingly complementing their regular surveys with event-based feedback such as after performance reviews or new joiners after 90 days which include engagement questions.

Andrew spent the '90s in management consultancy followed by the 00's managing global HR / marketing projects in firms such as Reuters, UBS and Alstom. He is the co-chair of the annual 'People Analytics' conference and a regular conference speaker on 'Big Data' topics.